

Cobalt Finch Qualification and Change-Control File

Admitted October 8, 2025

United States District Court for the Western District of North Carolina Blue Ember Biologics, LLC v. Granite Heron Logistics, Inc. Civil Action No. SYN-WDNC-24-CV-0520

This exhibit records Blue Ember’s contemporaneous assessment of Cobalt Finch’s proposed December 2, 2024 replacement campaign. Cobalt Finch had relevant development-biologics capability and held actual Durham capacity through October 4 at 17:00. It had never manufactured BE-214, and program-specific qualification and change control were incomplete when Blue Ember had to decide.

The file includes the preliminary facility-fit review, gap list, accelerated transfer calendar, quality questions, risk assessment, and nonprivileged decision entry. It identifies no known fatal incompatibility. It also contains no completed audit, approved batch-record comparison, closed analytical allocation, or final readiness authorization as of the deadline.

Blue Ember classified the proposal as feasible with elevated execution risk. Cobalt Finch proposed to resolve open items after commercial commitment through staged work and a November 22 readiness gate. The file does not declare acceptance unsafe or legally prohibited. Its purpose is to document what remained, who would decide, and why the sponsor retained Aurora Quay rather than reserving the earlier slot.

Preliminary facility-fit assessment

Cobalt Finch's Durham suite offered an appropriate scale range, single-use processing train, controlled material movement, frozen receiving and storage, trained development staff, utility capacity, and access to analytical support. Its ordinary quality system could host development campaigns. The initial review found no condition making the suite facially unavailable for BE-214.

Open comparisons concerned mixing geometry, equipment equivalence, process parameter mapping, and the allocation of selected analytical methods. Some release testing could remain with Blue Ember or an approved external laboratory, but responsibility and sample logistics required written agreement. The BE-214 batch record had not yet been mapped line by line.

Blue Ember's quality group requested a focused risk-based audit and evidence concerning training, deviations, data review, and change control. Cobalt Finch offered an October 14–15 assessment after acceptance and agreed that critical findings would require resolution. The absence of a known major finding was favorable but did not substitute for sponsor review. The assessment therefore rated basic facility fit acceptable, program readiness open, and schedule pressure high.

Transfer-gap register

The gap register assigns owners and proposed completion windows. Blue Ember would provide controlled process descriptions, current batch records, material specifications, method packages, reference standards, and technical personnel. Cobalt Finch would complete equipment mapping, draft local records, qualify assigned staff, plan receipt of frozen inputs, and coordinate its site controls.

Joint tasks included analytical responsibility, comparability rationale, change-control approval, engineering confirmation, deviation handling, and the final readiness decision. Material lead times and the availability of a few program specialists were marked schedule-sensitive. None was recorded as impossible, but several depended on immediate document access and rapid review.

The file distinguishes a “gap” from a “failure.” A gap identifies work needed before campaign authorization. It also distinguishes a reserved suite from a released batch: booking would preserve the opportunity but would not authorize manufacturing if critical conditions remained. That structure allowed staged diligence while exposing Blue Ember to some sunk transfer and reservation expense. The team could not close every item during the forty-eight-hour offer window.

Accelerated readiness calendar

The proposed calendar began with commercial acceptance and an October 7 kickoff. A concentrated document and fit review would run through October 11. Cobalt Finch proposed an on-site assessment for October 14 and 15, followed by batch-record adaptation, materials coordination, method planning, operator training, and change-control work through early November.

A limited engineering and readiness exercise was targeted for November 11–15. Blue Ember and Cobalt Finch would decide by November 22 whether critical controls supported the December 2 campaign. Preliminary campaign completion was projected near December 20, after which testing, review, and final disposition still had to occur.

The calendar used overlapping work to gain time; it did not delete a named safeguard. Compression increased exposure to late documents, equipment differences, method difficulty, material shortage, audit findings, or an unsuccessful engineering exercise. Cobalt Finch believed disciplined execution could meet the milestones. Blue Ember's reviewers considered the same path possible but less dependable than the established March 3 Aurora Quay campaign.

Decision entry and custodian certification

Blue Ember's October 4 entry records discussion among operations, technical, quality, and finance personnel. The team credited the real suite hold, general capability, approximately three-month manufacturing-start advantage, and 300,000-dollar preliminary incremental estimate. It also recorded unfinished program qualification, cancellation exposure, scarce internal staffing, and risk that a failed accelerated transfer would still require Aurora Quay.

Dr. Mira Solis approved the operational choice not to commit. Quality reviewers did not declare Cobalt Finch incapable; they stated that readiness had not been established on the information then available. The decision retained Aurora Quay's March 3 campaign and released the Durham hold before expiration.

The custodian confirmed that this file predates expert reports and preserves both favorable and unfavorable assessments. Granite Heron may contend that staged conditions made the risk manageable and the expected benefit compelling. Blue Ember may contend that an already qualified path reasonably outweighed the earlier uncertain one. Admission authenticates the decision process without deciding that affirmative defense or converting the file into a guarantee about a campaign never performed.